

Lecture 5 Team Projects

Treasury and Corporate Debt Markets

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1 Project 1: On-the-Run Liquidity and Treasury Specialness

Scenario. Explain why two similar Treasury securities trade at different yields.

Objectives. Match on- and off-the-run securities; separate cash-flow effects from liquidity, benchmark demand, and repo specialness; distinguish the gap from credit compensation.

Sources. U.S. Treasury auction data; FRED; Federal Reserve Bank of New York repo data; instructor quote snapshot.

Deliverables. Security profile, yield/duration comparison, spread decomposition, repo evidence, relative-value conclusion, and a 10–12 minute presentation.

Rubric (100 points). Matching 20; risk comparison 25; liquidity and repo reasoning 30; conclusion 15; presentation and sourcing 10.

2 Project 2: Credit Event Anatomy

Scenario. Explain how a downgrade, earnings shock, acquisition, or refinancing event affected bondholders.

Objectives. Build an event timeline; compare bond performance before and after; separate benchmark-rate and issuer-spread effects; discuss recovery or covenants.

Sources. FINRA TRACE; SEC EDGAR or SEDAR+; rating-agency releases; FRED Treasury yields.

Deliverables. Timeline, bond/benchmark exhibit, rate-versus-spread attribution, recovery or covenant discussion, conclusion, and a 10–12 minute presentation.

Rubric (100 points). Research 20; data analysis 25; attribution 25; credit reasoning 20; presentation and citations 10.